

Audit and Assurance (AA)

Syllabus and study guide.

September 2026 to June 2027

Designed to help with planning study and to provide detailed information on what could be assessed in any examination session

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1. Introduction to the syllabus

The Audit and Assurance syllabus is essentially divided into six areas. The syllabus starts with the nature, purpose and scope of assurance engagements, including the statutory audit, its regulatory environment, and introduces governance and professional ethics relating to audit and assurance.

It then leads into planning the audit and performing risk assessment.

The syllabus then covers a range of areas relating to an audit of financial statements including the scope of internal control and the role and function of internal audit. These include, evaluating internal controls, audit evidence, and a review of the financial statements.

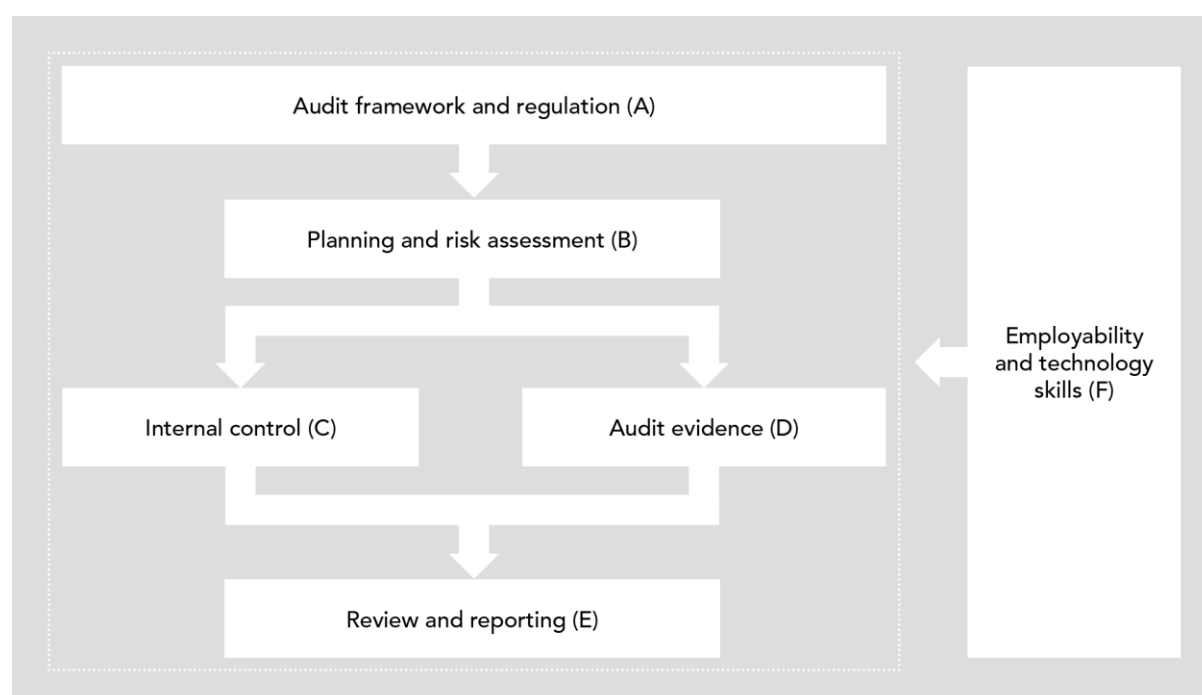
In addition to final review procedures, the syllabus concentrates on reporting, including the form and content of the independent auditor's report.

Finally, the syllabus contains outcomes relating to the demonstration of appropriate digital and employability skills in preparing for and taking the AA examination. This includes being able to interact with different question item types, manage information presented in digital format and being able to use the relevant functionality and technology to prepare and present response options in a professional manner. These skills are specifically developed by practicing and preparing for the AA exam using the learning support content for computer-based exams available via the practice platform and the ACCA website and will need to be demonstrated during the live exam.

2. Main capabilities

On successful completion of this exam, candidates should be able to:

- A Explain the concept of audit and assurance and the functions of audit, corporate governance, including ethics and professional conduct.
- B Demonstrate how the auditor obtains and accepts audit engagements, obtains an understanding of the entity and its environment, assesses the risk of material misstatement (whether arising from fraud or other irregularities) and plans an audit of financial statements.
- C Describe and evaluate internal controls, techniques and audit tests, including IT systems to identify and communicate control risks and their potential consequences, making appropriate recommendations. Describe the scope, role and function of internal audit.
- D Identify and describe the work and evidence obtained by the auditor and others required to meet the objectives of audit engagements and the application of the International Standards on Auditing (ISAs).
- E Explain how consideration of subsequent events and the going concern principle can inform the conclusions from audit work and are reflected in different types of auditor's report, written representations and the final review and report.
- F Demonstrate employability and technology skills.



This diagram illustrates the flows and links between the main capabilities of the syllabus and should be used as an aid for planning teaching and learning in a structured way.

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3. Intellectual levels

The syllabus is designed to progressively broaden and deepen the knowledge, skills and professional values demonstrated by the student on their way through the qualification.

The specific capabilities within the detailed syllabuses and study guides are assessed at one of three intellectual or cognitive levels:

Level 1:	Knowledge and comprehension
Level 2:	Application and analysis
Level 3:	Synthesis and evaluation

Very broadly, these intellectual levels relate to the three cognitive levels at which the Applied Knowledge, the Applied Skills and the Strategic Professional exams are assessed.

Each subject area in the detailed study guide included in this document is given a 1, 2, or 3 superscript, denoting intellectual level, marked at the end of each relevant learning outcome. This gives an indication of the intellectual depth at which an area could be assessed within the examination. However, while level 1 broadly equates with Applied Knowledge, level 2 equates to Applied Skills and level 3 to Strategic Professional, some lower-level skills can continue to be assessed as the student progresses through each level. This reflects that at each stage of study there will be a requirement to broaden, as well as deepen capabilities. It is also possible that occasionally some higher-level capabilities may be assessed at lower levels.

4. The syllabus

A Audit framework and regulation

1. The concept of audit and other assurance engagements
2. External audits
3. Corporate governance
4. Professional ethics and ACCA's Code of Ethics and Conduct

B Planning and risk assessment

1. Obtaining, accepting and continuing audit engagements
2. Objective and general principles
3. Assessing audit risks
4. Understanding the entity and its environment and the applicable financial reporting framework
5. Fraud, laws and regulations
6. Audit planning and documentation

C Internal control

1. Systems of internal control
2. The use and evaluation of systems of internal control by auditors
3. Tests of controls
4. Communication on internal control
5. Internal audit and governance and the differences between external audit and internal audit
6. The scope of the internal audit function, outsourcing and internal audit assignments

D Audit evidence

1. Assertions and audit evidence
2. Audit procedures
3. Audit sampling and other means of testing
4. The audit of specific items
5. Automated tools and techniques
6. The work of others
7. Not-for-profit organisations

E Review and reporting

1. Subsequent events
2. Going concern
3. Written representations
4. Audit finalisation and the final review
5. The Independent Auditor's Report

F Employability and technology skills

1. Use computer technology to efficiently access and manipulate relevant information
2. Work on relevant response options, using available functions and technology, as would be required in the workplace
3. Navigate windows and computer screens to create and amend responses to exam requirements, using the appropriate tools
4. Present data and information effectively, using the appropriate tools

5. Detailed study guide

A Audit framework and regulation

1. The concept of audit and other assurance engagements

- a) Identify and describe the objective and general principles of external audit engagements.^[2]
- b) Explain the nature and development of audit and other assurance engagements.^[1]
- c) Discuss the concepts of accountability, stewardship and agency.^[2]
- d) Define and provide the objectives of an assurance engagement.^[1]
- e) Explain the five elements of an assurance engagement.^[2]
- f) Describe the types of assurance engagement.^[2]
- g) Explain the level of assurance provided by an external audit and other review engagements and the concept of true and fair presentation.^[1]

2. External audits

- a) Describe the regulatory environment within which external audits take place.^[1]
- b) Discuss the reasons and mechanisms for the regulation of auditors.^[1]
- c) Explain the statutory regulations governing the appointment, rights, removal and resignation of auditors.^[1]
- d) Explain the regulations governing the rights and duties of auditors.^[1]
- e) Describe the limitations of external audits.^[1]

- f) Explain the development and status of International Standards on Auditing (ISAs).^[1]
- g) Explain the relationship between ISAs and national standards.^[1]
- h) Explain the overall objectives and importance of quality management procedures in conducting an audit.^[2]
- i) Explain the quality management procedures which should be in place over engagement resources, engagement performance, monitoring and remediation and compliance with ethical requirements.^[2]
- j) Evaluate quality management deficiencies and provide recommendations to allow compliance with quality management requirements.^[2]

3. Corporate governance

- a) Discuss the objectives, relevance, and importance of corporate governance.^[2]
- b) Discuss the provisions of international codes of corporate governance (such as OECD) that are most relevant to auditors.^[2]
- c) Describe good corporate governance requirements relating to directors' responsibilities (e.g. for risk management and internal control) and the reporting responsibilities of auditors.^[2]
- d) Evaluate corporate governance deficiencies and provide recommendations to allow compliance with international codes of corporate governance.^[2]
- e) Analyse the structure and roles of audit committees and discuss their benefits and limitations.^[2]

- f) Explain the importance of internal control and risk management.^[1]

4. Professional ethics and ACCA's Code of Ethics and Conduct

- a) Define and apply the fundamental principles of professional ethics of integrity, objectivity, professional competence and due care, confidentiality and professional behaviour.^[2]
- b) Define and apply the conceptual framework, including the threats to the fundamental principles of self-interest, self-review, advocacy, familiarity, and intimidation.^[2]
- c) Discuss the safeguards to offset the threats to the fundamental principles.^[2]
- d) Describe the auditor's responsibility in relation to auditor independence, conflicts of interest and confidentiality.^[1]
- e) Discuss the steps an auditor should take in relation to any breaches of ACCA's Code of Ethics and Conduct.^[2]

B Planning and risk assessment

1. Obtaining, accepting and continuing audit engagements

- a) Discuss the requirements of professional ethics and ISAs in relation to the acceptance / continuance of audit engagements.^[2]
- b) Explain the preconditions for an audit.^[2]
- c) Explain the process by which an auditor obtains an audit engagement.^[2]
- d) Discuss the importance and purpose of engagement letters and their contents.^[1]

2. Objective and general principles

- a) Identify the overall objectives of the auditor and the need to conduct an audit in accordance with ISAs.^[2]
- b) Explain the need to plan and perform audit engagements with an attitude of professional scepticism, and to exercise professional judgement.^[2]

3. Assessing audit risks

- a) Explain the components of audit risk.^[1]
- b) Describe the audit risks in the financial statements and explain the auditor's response to each risk.^[2]
- c) Define and explain the concepts of materiality and performance materiality.^[2]
- d) Explain and calculate materiality levels from financial information.^[2]

4. Understanding the entity and its environment and the applicable financial reporting framework

- a) Explain how auditors obtain an initial understanding of the entity and its environment and the applicable financial reporting framework.^[2]
- b) Describe and explain the nature, and purpose of, analytical procedures in planning.^[2]

- c) Compute and interpret key ratios used in analytical procedures.^[2]

5. Fraud, laws and regulations

- a) Discuss the effect of fraud and misstatements on the audit strategy and extent of audit work.^[2]
- b) Discuss the responsibilities of internal and external auditors for the prevention and detection of fraud and error.^[2]

- c) Explain the auditor's responsibility to consider laws and regulations.^[2]

6. Audit planning and documentation

- a) Identify and explain the need for, benefits of and importance of planning an audit.^[2]
- b) Identify and describe the contents of the overall audit strategy and audit plan.^[2]
- c) Explain and describe the relationship between the overall audit strategy and the audit plan.^[2]
- d) Explain the difference between an interim and final audit.^[1]
- e) Describe the purpose of an interim audit, and the procedures likely to be adopted at this stage in the audit.^[2]
- f) Describe the impact of the work performed during the interim audit on the final audit.^[2]
- g) Explain the need for, and the importance of, audit documentation.^[1]
- h) Describe the form and contents of working papers and supporting documentation.^[2]
- i) Explain the procedures to ensure safe custody and retention of working papers.^[1]

C Internal control

1. Systems of internal control

- a) Explain why an auditor needs to obtain an understanding of the components of internal control relevant to the preparation of the financial statements.^[1]
- b) Describe and explain the five components of a system of internal control.^[2]
 - i) control environment

- ii) the entity's risk assessment process
- iii) the entity's process to monitor the system of internal control
- iv) the information system and communication
- v) control activities

2. The use and evaluation of systems of internal control by auditors

- a) Explain how auditors record systems of internal control including the use of narrative notes, flowcharts and questionnaires.^[2]
- b) Evaluate internal control components, including deficiencies and significant deficiencies in internal control.^[2]
- c) Discuss the limitations of internal control components.^[2]

3. Tests of controls

- a) Describe computer systems controls including general IT controls and information processing controls.^[2]
- b) Describe control objectives, control procedures, control activities, direct controls, indirect controls and tests of controls in relation to:^[2]
 - i) The sales system
 - ii) The purchases system
 - iii) The payroll system
 - iv) The inventory system
 - v) The bank and cash system
 - vi) Non-current assets

4. Communication on internal control

- a) Discuss the requirements and methods of how reporting significant deficiencies in internal control are provided to management and those charged with governance.^[2]
- b) Explain, in a format suitable for inclusion in a report to management, significant deficiencies within a system of internal control and provide control

recommendations for overcoming these deficiencies to management.^[2]

- c) Discuss the need for auditors to communicate with those charged with governance.^[2]

5. Internal audit and governance and the differences between external audit and internal audit

- a) Discuss the factors to be considered when assessing the need for internal audit.^[2]
- b) Discuss the elements of best practice in the structure and operations of internal audit.^[2]
- c) Compare and contrast the role of external and internal audit.^[2]

6. The scope of the internal audit function, outsourcing and internal audit assignments

- a) Discuss the scope of internal audit and the limitations of the internal audit function.^[2]
- b) Explain outsourcing and the associated advantages and disadvantages of outsourcing the internal audit function.^[1]
- c) Discuss the nature and purpose of internal audit assignments including value for money, IT, financial, regulatory compliance, fraud investigations and customer experience.^[2]
- d) Discuss the nature and purpose of operational internal audit assignments.^[2]
- e) Describe the format and content of internal audit review reports and make appropriate recommendations to management and those charged with governance.^[2]

D Audit evidence

1. Assertions and audit evidence

- a) Explain the assertions contained in the financial statements about:^[2]
 - (i) Classes of transactions and events and related disclosures;
 - (ii) Account balances and related disclosures at the period end.
- b) Describe audit procedures to obtain audit evidence, including inspection, observation, external confirmation, recalculation, reperformance, analytical procedures and enquiry.^[2]
- c) Discuss the quality and quantity of audit evidence.^[2]
- d) Discuss the relevance and reliability of audit evidence.^[2]

2. Audit procedures

- a) Discuss substantive procedures for obtaining audit evidence.^[2]
- b) Discuss and provide examples of how analytical procedures are used as substantive procedures.^[2]
- c) Discuss the problems associated with the audit and review of accounting estimates.^[2]
- d) Describe why smaller entities may have different control environments and describe the types of evidence likely to be available in smaller entities.^[1]
- e) Discuss the difference between tests of controls and substantive procedures.^[2]

3. Audit sampling and other means of testing

- a) Define audit sampling and explain the need for sampling.^[1]

- b) Identify and discuss the differences between statistical and non-statistical sampling.^[2]
- c) Discuss and provide relevant examples of the application of the basic principles of statistical sampling and other selective testing procedures.^[2]
- d) Discuss the results of statistical sampling, including consideration of whether additional testing is required.^[2]
- iii) other evidence in relation to current liabilities and
- iv) purchases and other expenses, including payroll.
- d) Bank and cash:^[2]
 - i) bank confirmation reports used in obtaining evidence in relation to bank and cash
 - ii) other evidence in relation to bank and
 - iii) other evidence in relation to cash.

4. The audit of specific items

For each of the account balances stated in this sub-capability:

Explain the audit objectives and the audit procedures to obtain sufficient, appropriate evidence in relation to:

- a) Receivables:^[2]
 - i) direct confirmation of accounts receivable
 - ii) other evidence in relation to receivables and prepayments
 - iii) other evidence in relation to current assets and
 - iv) completeness and occurrence of revenue.
- b) Inventory:^[2]
 - i) inventory counting procedures in relation to year-end and continuous inventory systems
 - ii) cut-off testing
 - iii) auditor's attendance at inventory counting
 - v) direct confirmation of inventory held by third parties
 - vi) valuation and
 - vii) other evidence in relation to inventory.
- c) Payables and accruals:^[2]
 - i) supplier statement reconciliations and direct confirmation of accounts payable
 - ii) obtain evidence in relation to payables and accruals
- e) Tangible and intangible non-current assets^[2]
 - i) evidence in relation to non-current assets
 - ii) depreciation and
 - iii) gain/loss on disposal.
- f) Non-current liabilities, provisions and contingencies:^[2]
 - i) evidence in relation to non-current liabilities and
 - ii) provisions and contingencies.
- g) Share capital, reserves and directors' remuneration:^[2]
 - i) evidence in relation to share capital, reserves and directors' remuneration.

5. Automated tools and techniques

- a) Explain the use of automated tools and techniques in the context of an audit, including the use of audit software, test data and other data analytics tools.^[1]
- b) Discuss and provide relevant examples of the use of automated tools and techniques including test data, audit software and other data analytics tools.^[2]
- c) Explain and evaluate the benefits and challenges of using automated tools and techniques in an audit engagement.^[2]

6. The work of others

- a) Discuss why auditors rely on the work of others.^[2]

- b) Discuss the extent to which external auditors are able to rely on the work of experts, including the work of internal audit.^[2]

- c) Explain the audit considerations relating to entities using service organisations.^[2]

- d) Explain the extent to which reference to the work of others can be made in the independent auditor's report.^[1]

7. Not-for-profit organisations

- a) Apply audit techniques to not-for-profit organisations.^[2]

E Review and reporting

1. Subsequent events

- a) Explain the purpose of a subsequent events review.^[1]
- b) Explain the responsibilities of auditors regarding subsequent events.^[1]
- c) Discuss the procedures to be undertaken in performing a subsequent events review.^[2]

2. Going concern

- a) Define and discuss the significance of the concept of going concern.^[2]
- b) Explain the importance of and the need for going concern reviews.^[2]
- c) Explain the respective responsibilities of auditors and management regarding going concern.^[1]
- d) Identify and explain potential indicators that an entity is not a going concern.^[2]
- e) Discuss the procedures to be applied in performing going concern reviews.^[2]
- f) Discuss the disclosure requirements in relation to going concern issues.^[2]

- g) Discuss the reporting implications of the findings of going concern reviews.^[2]

3. Written representations

- a) Explain the purpose of and procedure for obtaining written representations.^[2]
- b) Discuss the quality and reliability of written representations as audit evidence.^[2]
- c) Discuss the circumstances where written representations are necessary and the matters on which representations are commonly obtained.^[2]

4. Audit finalisation and the final review

- a) Discuss the importance of the overall review in ensuring that sufficient, appropriate evidence has been obtained.^[2]
- b) Describe procedures an auditor should perform in conducting their overall review of financial statements.^[2]
- c) Explain the significance of uncorrected misstatements.^[1]
- d) Evaluate the effect of dealing with uncorrected misstatements.^[2]

5. The Independent Auditor's Report

- a) Identify and describe the basic elements contained in the independent auditor's report.^[1]
- b) Explain unmodified audit opinions in the auditor's report.^[2]
- c) Explain the circumstances in which a modified audit opinion may be issued in the auditor's report.^[2]
- d) Explain the impact on the auditor's report when a modified opinion is issued.^[2]

- e) Describe the format and content of key audit matters, emphasis of matter and other matter paragraphs.^[2]

F Employability and technology skills

- 1. Use computer technology to efficiently access and manipulate relevant information.**
- 2. Work on relevant response options, using available functions and technology, as would be required in the workplace.**
- 3. Navigate windows and computer screens to create and amend responses to exam requirements, using the appropriate tools.**
- 4. Present data and information effectively, using the appropriate tools.**

6. Summary of changes to Audit and Assurance (AA)

ACCA periodically reviews its qualification syllabuses so that they fully meet the needs of stakeholders such as employers, students, regulatory and advisory bodies and learning providers.

There have been no additions, deletions or amendments to the syllabus for September 2026 to June 2027.

7. Approach to examining the syllabus

The syllabus is assessed by a three-hour computer-based examination. All questions are compulsory. The exam will contain both computational and discursive elements. Some questions will adopt a scenario/case study approach. Prior to the start of the exam candidates are given an extra 10 minutes to read the exam instructions.

Section A

Section A of the exam comprises three 10-mark case-based questions. Each case has five objective test questions worth 2 marks each.

Section B

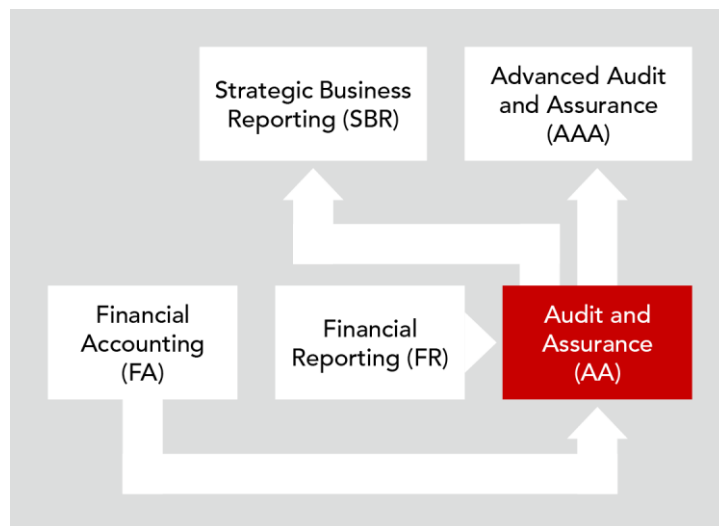
Section B of the exam comprises one 30-mark question and two 20-mark questions.

Section B of the exam will predominantly examine one or more aspects of audit and assurance from planning and risk assessment, internal control or audit evidence, although topics from other syllabus areas may also be included.

Total 100 marks

8. Relational diagram linking Audit and Assurance (AA) with other exams

This diagram shows links between this exam and other exams preceding or following it. Some exams are directly underpinned by other exams such as Advanced Audit and Assurance by Audit and Assurance. This diagram indicates where students are expected to have underpinning knowledge and where it would be useful to review previous learning before undertaking study.



9. Guide to ACCA examination structure and delivery mode

The pass mark for all ACCA Qualification examinations is 50%.

The structure and delivery mode of examinations varies.

Applied Knowledge

The Applied Knowledge examinations contain 100% compulsory questions to encourage candidates to study across the breadth of each syllabus. These are assessed by a two-hour computer-based examination.

Applied Skills

The Corporate and Business Law exam is a two-hour computer-based objective test examination for English and Global.

For the format and structure of the Corporate and Business Law or Taxation variant exams, refer to the 'Approach to examining the syllabus' section of the relevant syllabus and study guide.

The other Applied Skills examinations (PM, TX-UK, FR, AA, and FM) contain a mix of objective and longer type questions with a duration of three hours for 100 marks. These are assessed by a three-hour computer-based exam. Prior to the start of each exam there will be time allocated for students to be informed of the exam instructions.

The longer (constructed response) question types used in the Applied Skills exams (excluding Corporate and Business Law) require students to effectively mimic what they do in the workplace. Students will need to use a range of digital skills and demonstrate their ability to use spreadsheets and word processing tools in producing their answers, just as they would use these tools in the workplace. These assessment methods allow ACCA to focus on testing students' technical and application skills, rather than, for example, their ability to perform simple calculations.

Strategic Professional

Essentials:

Strategic Business Leader is ACCA's case study examination at Strategic Professional and is examined as a closed book exam of 3 hours and 15 minutes, including reading, planning and reflection time which can be used flexibly within the examination.

Pre-seen information for the Strategic Business Leader exam will be released two weeks before the exam sitting. The pre-seen information contains background and contextual details in order for students to familiarise themselves with the fictitious organisation that they will be examined on and the industry in which it operates.

The Strategic Business Leader exam will contain new information in the form of exhibits and students are required to complete several tasks. All questions are compulsory and each examination will contain a total of 80 technical marks and 20 professional skills marks.

As this is a closed book exam, the pre-seen information is also available within the examination.

Strategic Business Reporting is a three-hour 15 minutes exam. It contains two sections and all questions are compulsory. This exam contains four professional marks.

Options:

The Strategic Professional Options are all three hours and 15 minutes computer-based exams. All contain two sections and all questions are compulsory.

All option exams contain a total of 80 technical marks and 20 professional skills marks.

The question types used at Strategic Professional require students to effectively mimic what they would do in the workplace.

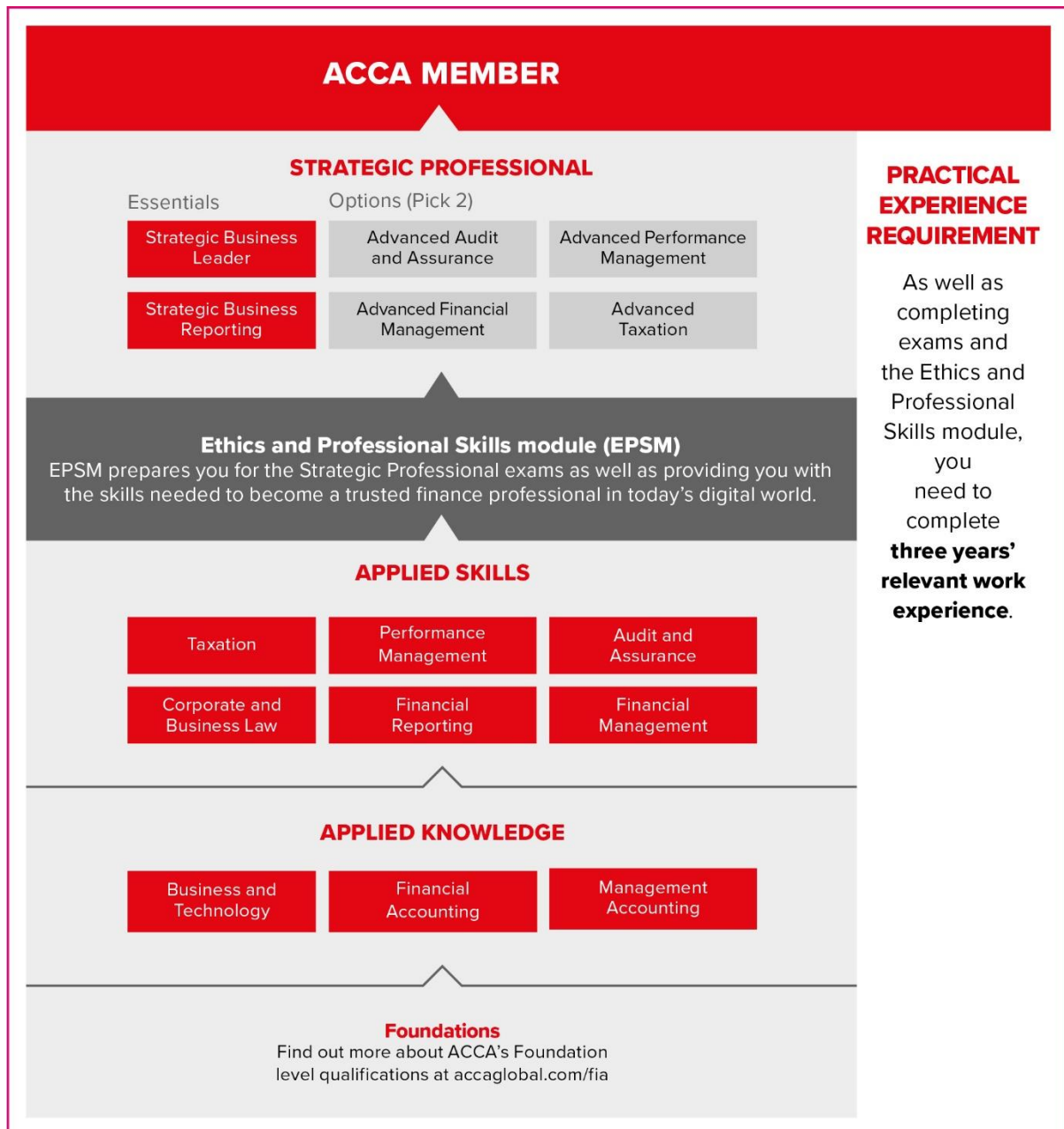
These exams offer ACCA the opportunity to focus on the application of knowledge to scenarios, using a range of tools including word processor, spreadsheets and presentation slides - not only enabling students to demonstrate their technical and professional skills but also their use of the technology available to today's accountants.

Time management

ACCA encourages students to take time to read questions carefully and to plan answers but once the exam time has started, there are no additional restrictions as to when students may start producing their answer.

Students should ensure that all the information and exam requirements are properly read and understood.

10. The structure of ACCA qualification



*See accaglobal.com for details

11. Guide to ACCA examination assessment

ACCA reserves the right to examine any learning outcome contained within the study guide. This includes knowledge, techniques, principles, theories, and concepts as specified. For the financial accounting, audit and assurance, law and tax exams except where indicated otherwise, ACCA will publish *examinable documents* once a year to indicate exactly what regulations and legislation could potentially be assessed within identified examination sessions.

For most examinations (not tax), regulations **issued** or legislation **passed** on or before 31 August annually, will be examinable from 1 September of the following year to 31 August of the year after that. Please refer to the examinable documents for the exam (where relevant) for further information.

Regulations issued or legislation passed in accordance with the above dates will not be examinable if the **effective** date is in the future, unless explicitly stated otherwise in this syllabus and study guide or examinable documents.

The term issued or passed relates to when regulation or legislation has been formally approved.

The term effective relates to when regulation or legislation must be applied to an entity's transactions and business practices.

The study guide offers more detailed guidance on the depth and level at which the examinable documents will be examined. The study guide should therefore be read in conjunction with the examinable documents list.

For **UK** tax exams, examinations falling within the period 1 June to 31 March will generally examine the Finance Act which was passed in the previous year. Therefore, exams falling in the period 1 June 2026 to 31 March 2027 will examine the Finance Act 2025 and any examinable legislation which is passed outside of the Finance Act before 31 May 2025.

For additional guidance on the examinability of specific tax rules and the depth in which they are likely to be examined, reference should be made to the relevant Finance Act article written by the examining team and published on the ACCA website.

None of the current or impending devolved taxes for Scotland, Wales, and Northern Ireland is, or will be, examinable.

12. Learning hours and education recognition

The ACCA qualification does not prescribe or recommend any particular number of learning hours for examinations because study and learning patterns and styles vary greatly between people and organisations. This also recognises the wide diversity of personal, professional and educational circumstances in which ACCA students find themselves.

As a member of the International Federation of Accountants, ACCA seeks to enhance the education recognition of its qualification on both national and international education frameworks, and with educational authorities and partners globally. In doing so, ACCA aims to ensure that its qualification is recognised and valued by governments, regulatory authorities and employers across all sectors. To this end, the ACCA qualification is currently recognised on the education frameworks in several countries. Please refer to your national education framework regulator for further information.

Each syllabus is organised into main subject area headings which are further broken down to provide greater detail on each area.

ACCA provides free digital access to the [ACCA Study Hub](#) for all students globally via MyACCA, including full syllabus coverage, short quizzes, practice and revision questions and flashcards to help you prepare for your exam.

ACCA's content partners are [BPP Learning Media](#) and [Kaplan Publishing](#). They create their own learning materials. For more information about the types of materials offered, please visit their websites and contact them directly.